



INSURANCE AND PENSIONS COMMISSION



QUARTERLY REPORT FOR FUNERAL ASSURERS FOR THE HALF YEAR ENDED 30 JUNE 2017

160 Rhodesville Avenue
Greendale
Harare

Tel. 443358/443261/443422

Cell: 0772 154 281, 0772 154 282, 0772 154 283, 0772 154 284

Fax. 443304

E-MAIL: enquiry@ipec.co.zw



Insurance and Pensions Commission

The Commission supervises and regulates the operations of life and non-life insurance companies, mutual societies, funeral assurance companies and insurance brokers. It issues licenses to insurance agents, general agents, underwriters, brokers, loss adjusters. It has also the authority to suspend or revoke such licenses.

a) IPEC Mission Statement

To regulate and supervise the Insurance and Pension industry so as to protect the interests of policy holders and pension scheme members to facilitate industry growth.

b) IPEC Vision

A vibrant Insurance and Pension Industry contributing towards a safe and stable financial system

c) IPEC Core Values

▪ *Integrity*

We are fair, ethical and honest in our dealings with all our stakeholders. In doing so, we apply agreed policies equally to all, maintain the highest of personal, professional and ethical conduct.

▪ *Fairness*

We shall apply rules, regulations and procedures equally without fear and favour.

▪ *Transparency and accountability*

We disclose full information, on time to relevant stakeholders where applicable. We take full responsibility and are answerable for our decisions and actions.

▪ *Accessibility*

We endeavour to deliver justice to all using different methods and strategies.

▪ *Responsive*

We timely, efficiently and effectively attend to the needs of our clients and stakeholders.

▪ *Empathy*

In serving our clients and stakeholders, we will put ourselves in their circumstances, so as to appreciate their requirements.

▪ *Confidentiality*

We shall handle our clients and their information in confidence.

▪ *Discipline*

We shall act in accordance with our code of conduct.

▪ *Equal opportunity employer*

We do not discriminate potential employees on the basis of any ism.

▪ *Professionalism*

In undertaking our jobs, we are guided by the tenets of our professions



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1. List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPW	Net Premium Written
IPEC/Commission	Insurance and Pensions Commission
Y-Growth	Yearly growth
Q1	First Quarter
Q3	Third Quarter
'16	2016
'17	2017
H1	Half year
Var	Variance
F.Funeral	First Funeral

This report is based on direct funeral insurers and funeral business underwritten by life companies.



2. Introduction

Acknowledgement

The information contained in this report has been extracted from the quarterly unaudited returns submitted to the Commission in line with Section 30 of the Insurance Act [Chapter 24:07]. No adjustments have been made to the returns' data except where necessary and this was done in consultation with the funeral assurer(s).

This report is based on the operational statistics of 9 funeral assurance companies namely Orchid, Doves, First Funeral, Moonlight, Foundation Mutual Society, Passion, Ruvimbo, Sunset and Vineyard.

3. Economic Overview

The economy remains on track to achieve the set growth target of 1.7 percent (*World Bank country review, 21 June 2017*), strengthened by a bumper harvest for the 2016/2017 season which ensures food security in the coming year. Agriculture is the main stay of the economy, hence the bumper harvest will increase activity in the food and other processing industries downstream further strengthening economic growth. Year on year inflation at the end of June stood at 0.31 percent, the first drop since the upward trend which started in February 2017.

4. Industry Overview

Funeral assurers operating in the market remained at 9 by end of the second quarter with no new registrations or cancellations. Gross written premium grew by 13 percent for the half year ended 30 June 2017 compared with the same period last year (from \$70.85 million to \$80.27 million). This continued growth highlights the increase in demand for funeral assurance products.

Claims reported for the period under review increased by a marginal 0.42 percent compared to the same period last year. The Commission urges players to quickly settle claims. Technical profits for the period under review decreased by 40 percent as compared to the same period last year (from \$4.67 million to \$2.79 million). The decrease was mainly driven by an increase in expenses by 10 percent.

Total assets for the Funeral assurance industry increased by 9 percent for the period under review compared to the same period last year (from \$56.24 million to \$61.46 million). As at 30 June 2017 \$0.7 million was invested in prescribed assets compared to \$0.23 million for the same period last year, translating into prescribed asset ratio of 1.14 percent. Funeral assurers are required to adhere to the minimum prescribed asset ratio of 7.5 percent.

Total capitalization for the funeral assurance industry as at 30 June 2017 stood at \$37.77 million representing a 17 percent increase from \$32.18 million reported as at 30 June 2016. At the time of compiling the report Statutory Instrument 95 of 2017 had been gazzeted which effected an increase in the minimum capital requirements for funeral assurers to \$2.5 million effective 25 August 2017. Only 3 players are compliant with the new capital requirement.



The Commission continues to urge players to prioritise compliance issues. Most players remain non-compliant with the prescribed asset ratio, timely payment of levies, timely submission of returns and structure of investments.

Table1: Summary of business performance by funeral assurance Industry for the quarter ended 30 June 2017.

Financial Aspect	Funeral Assurers		
	Jun-16	Jun-17	Growth
Net Premiums Written (\$000) *	70,847	80,265	13%
Retention Ratio	100%	100%	0%
Total Gross Claims (\$000)	5,009	5,032	0.42%
Management Expenses (\$000)	7,385	9,797	33%
Commissions (\$000)	1,616	1,615	0%
Total Costs (\$000)	14,010	16,444	17%
Technical Profit (\$000)	4,665	2,789	-40%
Expense Ratio	48%	58%	10%
Claims Ratio	27%	26%	-1%
Combined Ratio	75%	83%	8%
Total Assets (\$000)	56,236	61,462	9%
Total Liabilities (\$000)	14,958	23,689	58%
Current Assets	23,955	22,330	-7%
Current Liabilities	18,346	12,585	-31%
Capital (\$000)	32,182	37,773	17%
Capital to liability Ratio	134%	159%	25%
Prescribed Assets (\$000)	232	700	202%
Prescribed Asset Ratio** (%)	0.41%	1.14%	

*The figure includes funeral business of US\$60.56 million written by Life assurers.

** Is calculated as prescribed assets/Total assets

Retention

Funeral assurance players continue to retain 100 percent of the business they underwrite. It is important for the funeral assurance industry to have reinsurance arrangements as a prudential risk management mechanism.



5. Update on Operations

As at 30 June 2017 operational branches for funeral assurers were 102 supported by a staff complement of 377 employees. Players are encouraged to continuously ensure that all their agents are registered in terms of the Insurance Act [Chapter 24:07] to avoid being penalized by the Commission. We encourage players to consider other viable and accessible distribution channels.

Table 2: Registered agents and operational staff

Name of Company	Corporate Agents	Sole Agents	Staff	Branches
Orchid	0	0	13	1
Doves	121	0	60	24
First Funeral	19	0	46	10
Foundation	0	18	33	8
Moonlight	0	70	122	34
Passion	0	14	4	3
Ruvimbo	0	6	30	15
Sunset	1	7	8	2
Vineyard	3	11	61	5
Total	144	126	377	102

Net Premium Written

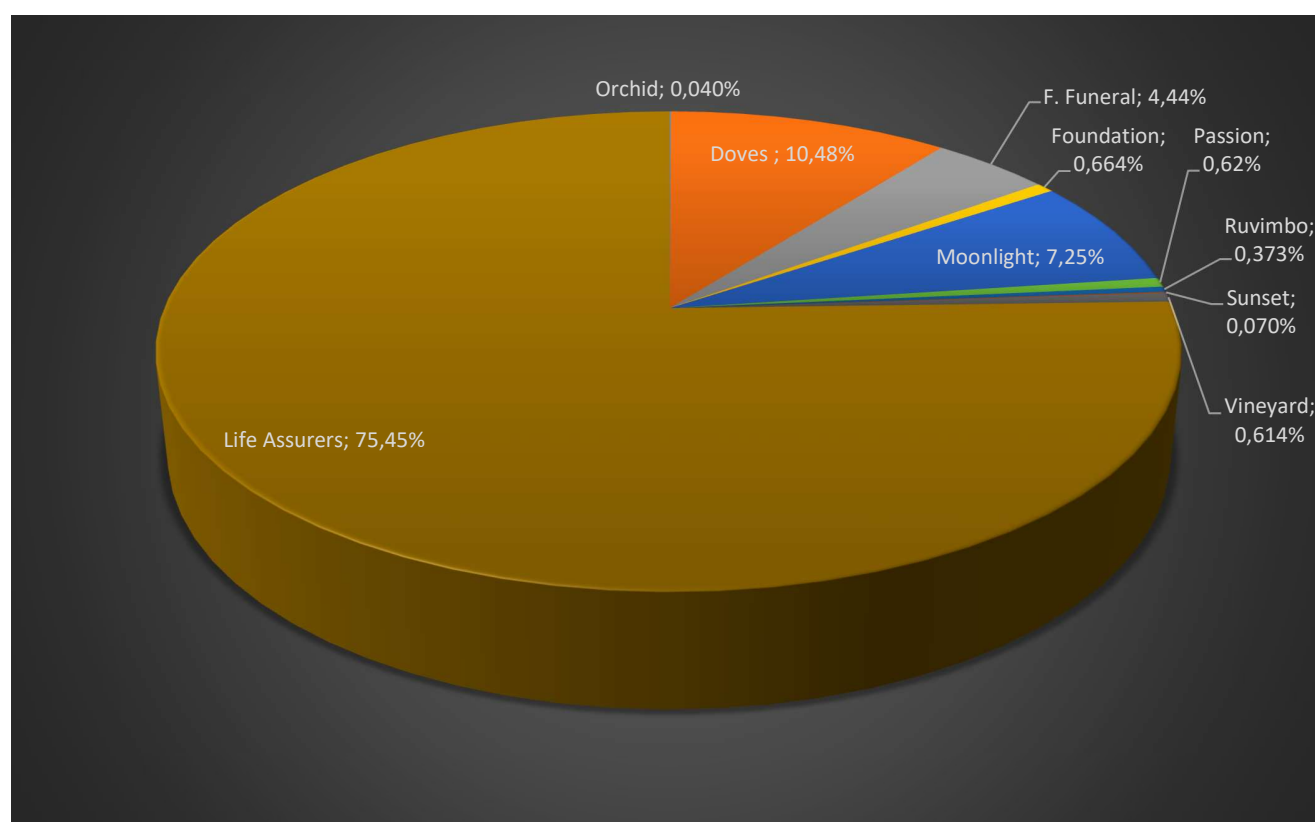
For the period under review net premium written grew by 13 percent from USD70.85 million for the half year of 2016 to USD80.27 for the comparable period under review. The 3 main drivers of growth in net premium written were life assurers who registered growth of 16 percent, Doves Funeral Assurance Company with a growth of 26 percent and Ruvimbo Funeral Assurance Company who registered growth of 117 percent. On the other hand, 5 funeral assurers registered negative growth varying from a negative 2 percent to a negative 65 percent. The Commission encourages players to take a lead in developing innovative micro insurance products as this is a growth area in terms of future market growth. The table below shows net written premiums for the industry player by player.

Table 3: Net written premium distribution by company for the quarter ended 30 June 2017

Name Of Company	June 2016 (000)	June 2017(000)	Growth
Orchid	91	32	-65%
Doves	6,683	8,410	26%
First Funeral	3,724	3,561	-4%
Foundation	492	533	8%
Moonlight	6,430	5,821	-9%
Passion	510	499	-2%
Ruvimbo	138	299	117%
Sunset	30	56	87%
Vineyard	577	493	-15%
Life assurers Funeral business	52,172	60,561	16%
Total*	70,847	80,265	13%

*The total NPW figure above includes funeral business of US\$60,56 million written by Life assurers.

Figure 1: Market Share for Funeral assurers by Net Written Premium





6. Business Composition

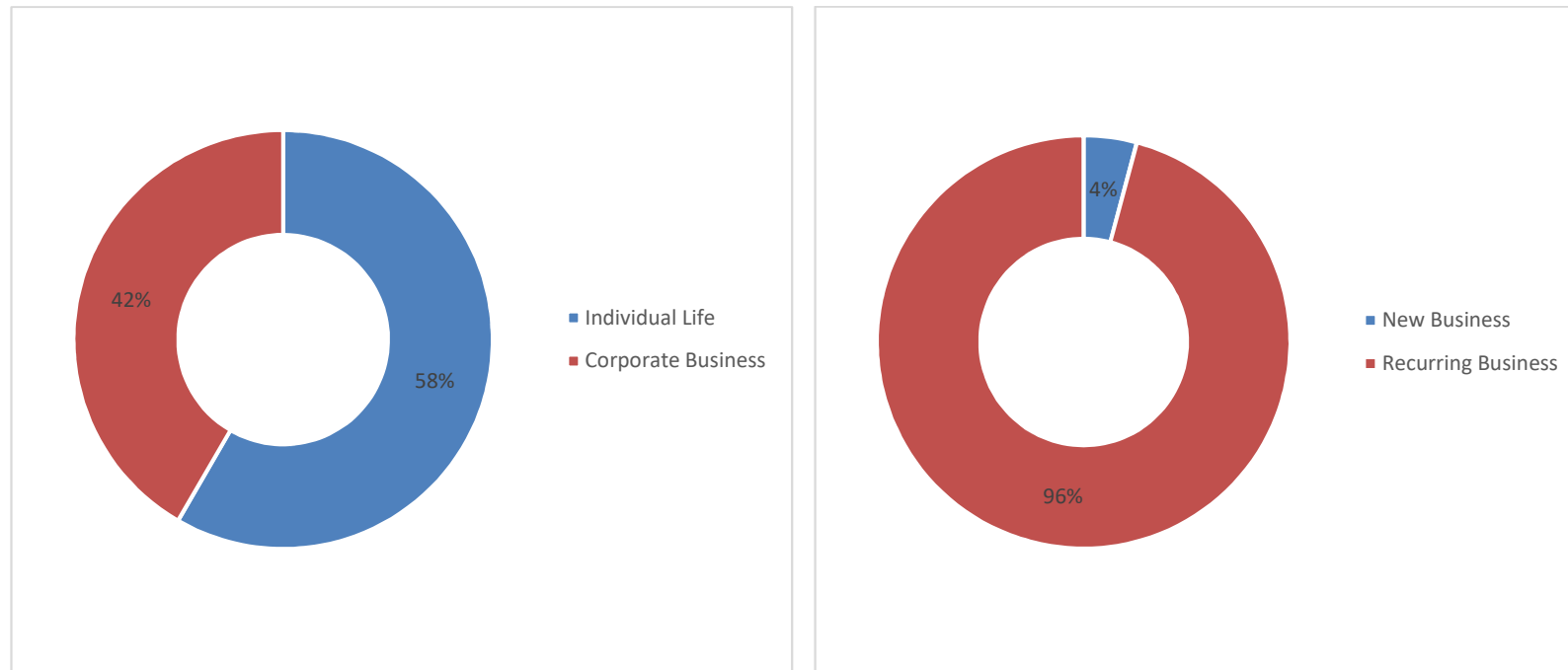
Individual life business continues to be the major contributor of net written premium for funeral assurers, contributing 58 percent for the period under review. The remaining 42 percent of net written premium came from group business. Funeral assurers should explore all opportunities available on the market to increase their business. Volumes in new business continues to be low as shown by a small contribution of only 4 percent. Recurring business contributed 96 percent of the total net written premium. Table 4 and figure 2 below shows business composition.

Table 4: Net Written Premium for the quarter ended 30 June 2017.

Company Name	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Jun-16	Jun-17	Growth (%)	Jun-16	Jun-17	Growth (%)	Jun-16	Jun-17	Growth (%)	Jun-16	Mar-17	Growth (%)	Jun-16	Jun-17	Growth (%)
Orchid	0	-	0%	14	2	-600%	77	0	0%	0	30	100	91	32	-65%
Doves	42	20	-52%	714	1,082	52%	1195	60	-95%	4,732	7,248	53%	6,683	8,410	26%
F. Funeral	6	7	17%	3,718	3,554	-4%	0	0	0%	0	0	0%	3,724	3,561	-4%
Foundation	3	7	133%	79	526	566%	0	0	0%	410	0	-100%	492	533	8%
Moonlight	210	133	-37%	2994	5,688	90%	0	0	0%	3,226	0	0%	6,430	5,821	-9%
Passion	2	16	700%	149	102	-32%	3	15	400%	356	366	3%	510	499	-2%
Ruvimbo	44	50	11.11%	95	100	5.26%	0	49	100%	0	100	100%	139	299	115%
Sunset	0	55	0%	30	1	-97%	0	0	0%	0	0	0%	30	56	87%
Vineyard	89	133	100%	44	0	0%	207	360	43%	238	0	-100%	578	493	-15%
TOTAL	396	421	-6%	7,837	11,055	40%	1,482	484	-71%	8,962	7,744	-15%	18,677	19,704	5%



Figure 2: Net Written Premium Composition for the Quarter ended 30 June 2017



7. Not Taken-Up policies

For the half year ended 30 June 2017, the ratio of not taken up policies to net written premiums of 8 funeral assurance players ranged from 0 to 1.94 percent which are well within commendable ranges. Orchid was however an outlier with a high ratio of 35.6 percent. Players are encouraged to properly train agents and staff about their products to reduce mis-selling which may be attributed to the high ratio of not taken up to gross written premium ratio.

Table 5: Not Taken-Up Policies

	Not Taken Up Policies
Orchid	35.6%
Doves	0.00%
First Funeral	0.27%
Foundation	1.94%
Moonlight	0%
Passion	0%
Ruvimbo	0%
Sunset	0%
Vineyard	0%
Total	N/A

8. Lapse ratios

Lapse ratio ranged from 0 to 18 percent. These high levels of lapse ratios may be attributed to liquidity constraints in the financial markets.

Table 6 Lapse ratios.

	Lapse Ratios	
	Individual (%)	Group Bus (%)
Cell	18%	0%
Doves	0.00%	0%
First Funeral	7.70%	0%
Foundation	1.23%	0%
Moonlight	9.00%	0%
Passion	5%	0%
Ruvimbo	9%	0%
Sunset	2.82	0%
Vineyard	7.37%	0%
Total	N/A	N/A



9. Claims Aged Analysis

Total outstanding claims amounted to USD48,000.00 of these claims an amount of USD18,000.00 were aged between 0 to 30 days while an amount of USD23,000.00 were aged between 30 to 60 days. Of these claims USD23,000.00 were aged more between 30 to 60 days. Funeral claims are urgent in nature and should be settled with 48 hours. Funeral assurance players should prioritise claims payment and make it the core of their operations. Table 7 below shows the claims aged analysis as at 30 June 2017.

Table 7: Claims Aged Analysis (000) as at 30 June 2017

Name of Company	Orchid	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days	4	0	6	0	0	0	4	4	0	18
31-60days	6	0	16	0	0	0	1	0	0	23
61-90days	3	0	4	0	0	0	0	0	0	7
91-120days	0	0		0	0	0	0	0	0	0
<121 days	0	0	0	0	0	0	0	0	0	0
Reinsurance	0	0		0	0	0	0	0	0	0
Total	13	0	26	0	0	0	5	4	0	48

10. Debtors aged analysis

Total debtors for the funeral assurance industry amounted to USD2.58 million as at 30 June 2017. However only 30.78 percent of the debtors (USD0.79 million) are considered admissible in terms of Statutory Instrument 95 of 2017. The industry average ratio of debtors to gross premium was 13.17 percent (see appendix 1A) highlighting an acceptable balance between premiums received in cash and premium debtors. However, players should work on reducing the amount of debtors by using innovative premium collection methods.

Table 8: Debtors Aged Analysis (000) as at 30 June 2017

Name of Company	Orchid	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days	1	0		14	139	14	14	2	87	257
31-60days	0	0	39	12	70	29	0	1	97	248
61-90days	0	0	99	7	54	33	0	3	93	289
91-120days	0	0	195	6	65	33	0	0	83	382
<121 days	0	0		56	770	445	0	0	132	1403
Total	1	0	333	95	1098	554	14	6	492	2579

11. Earnings

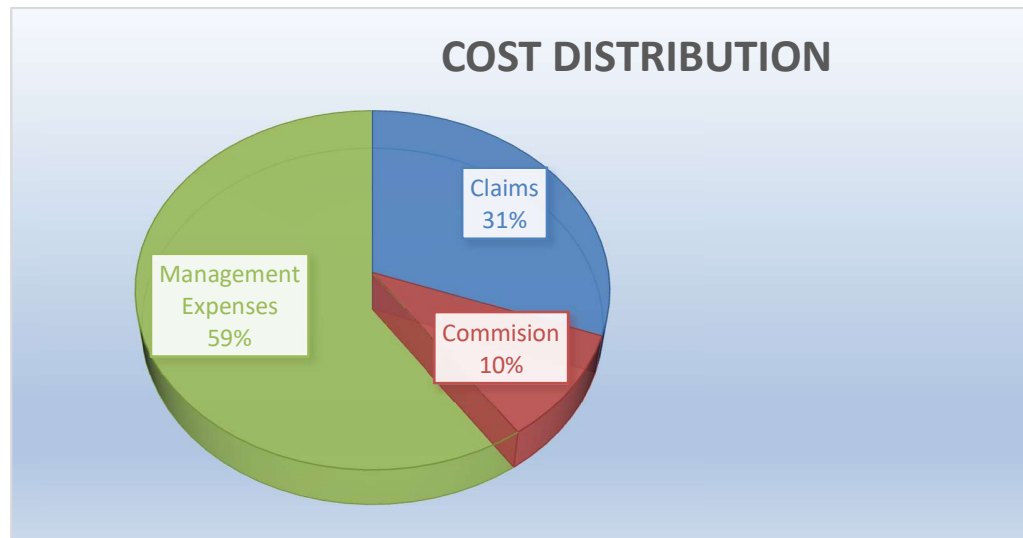
For the period under review technical profits decreased by 41 percent (from USD4.67 million to USD2.79 million) as compared to the same period in 2016. This was driven by a 17 percent increase in total costs (mainly driven by a 33 percent increase in management expenses). Net profit after tax for the period amounted to USD1.57 million. Players are encouraged to rationalize costs to improve their profitability.



Table 9: Key earnings indicators for the quarter ended 30 June 2017

Co. Name	NPW			Claims (000)			Commissions (000)			Management Expenses			Total Costs (000)			Combined Ratio		
	Jun-16	Jun-17	Growth	Jun-16	Jun-17	Growth	Jun-16	Jun-17	Growth	Jun-16	Jun-17	Growth	Jun-16	Jun-17	Growth	Jun16	Jun17	Growth
Orchid	91	32	-65%	8	6	-25%	0	0	0%	114	42	-63%	122	48	-61%	134%	150%	16%
Doves	6,683	8,410	26%	2,540	2,525	-1%	594	668	12%	1,522	2,895	90%	4,656	6,088	31%	70%	72%	2%
F. Funeral	3,724	3,561	-4%	1,054	1,146	9%	761	695	-9%	1,011	1,242	23%	2,826	3,083	9%	76%	87%	11%
Foundation	492	533	8%	67	57	-15%	26	45	73%	343	384	12%	436	486	11%	87%	91%	4%
Moonlight	6,430	5,821	-9%	1,067	1,022	-4%	190	159	-16%	3,899	4,356	12%	5,156	5,537	7%	83%	95%	12%
Passion	510	499	-2%	131	126	-4%	1	34	100%	52	287	452%	184	447	143%	36%	90%	54%
Ruvimbo	138	299	117%	20	40	100%	6	0	-100%	122	230	89%	148	270	82%	106%	90%	-16%
Sunset	30	55	83%	1	6	100%	0	0	0%	22	74	236%	23	80	248%	79%	145%	66%
Vineyard	577	493	-15%	121	104	-14%	38	14	-63%	300	287	-4%	459	405	-12%	80%	82%	2%
Total	18,675	19,703	6%	5,009	5,032	0%	1,616	1,615	0%	7,385	9,797	33%	14,010	16,444	17%	75%	83%	8%

Figure 4: Cost distribution for the quarter ended 30 June 2017





For the half year ended 30 June 2017 most of the earnings for the funeral assurance industry emanated from core business activities which makes them high quality earnings. The industry recorded an average return on equity of 4 percent for the period under review, thus on average the industry earned USD0.04 for each USD1 of equity invested. The average return on assets for the industry was 2.46 percent. This level of profitability is on the low side compared to international benchmarks.

12. Assets Quality

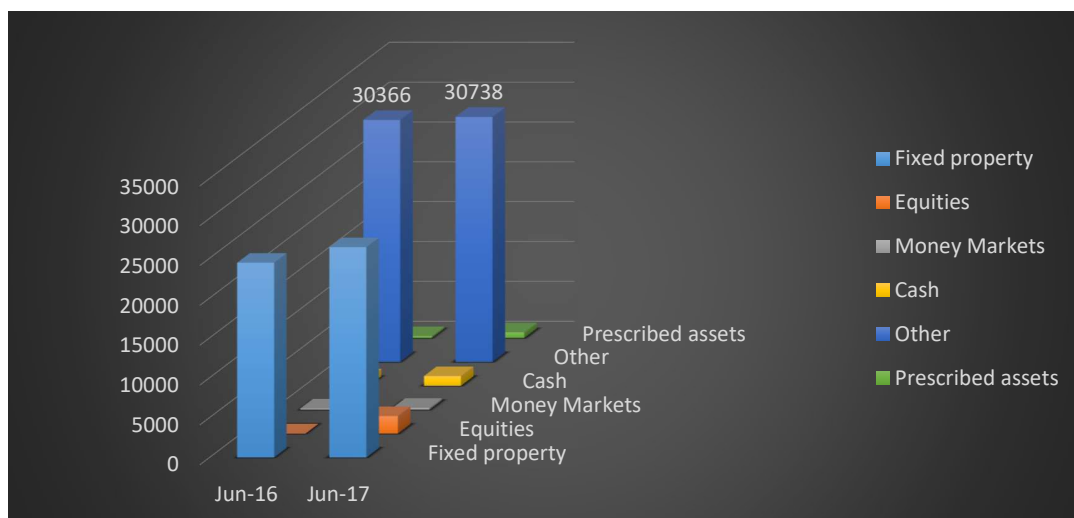
The funeral assurance industry had assets amounting to USD61.74 million as at 30 June 2017. These assets are composed of fixed property, money market securities, cash and other investments. On average non-interest generating assets accounted for 83.19 percent of the industry total assets (see appendix 1A) indicating a lack of appetite by the industry for money market instruments and other interest-bearing assets. The funeral assurance industry's premium debtors to total assets ratio was 4.2 percent which is within the acceptable range for a healthy asset structure.

Table 10: Funeral Assurance industry asset base as at 30 June 2017

	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets(000)			Total Assets (000)		
	Jun-16	Jun17	Var	Jun16	Jun17	Var	Jun16	Jun17	Var	Jun16	Jun17	Var	Jun-16	Jun-17	Var	Jun16	Jun17	var	Jun-16	Jun-17	Growth
Orchid	1198	1,155	-4%	16	16	0%	89	78	0%	1	3	200%	38	3	-92%	0	0	0%	1,342	1,255	-6%
Doves	4,573	6,031	32%	4	2165	54025%	0	0	0%	778	955	23%	15,649	15,127	-3%	60	393	85%	21,064	24,671	17%
F.Funeral	850	810	-5%	10	15	50%	0	0	0%	-35	58	-266%	7,884	8,111	3%	0	10	0%	8,709	9,004	3%
Foundation	1,395	1,332	-5%	0	0	0%	17	18	6%	110	29	-74%	755	783	4%	85	115	35%	2,362	2,277	-4%
Moonlight	11,435	11,423	0%	0	0	0%	0	0	0%	6	66	1000%	4,040	4,577	13%	45	67	49%	15,526	16,133	4%
Passion	640	640	0%	0	0	0%	0	0	0%	23	62	170%	360	177	-51%	0	35	0%	1,023	914	-11%
Ruvimbo	1,113	1,692	52%	0	0	0%	0	30	0%	19	9	-53%	1071	1,243	16%	6	13	117%	2,209	2,987	35%
Sunset	1,694	1,675	-1%	0	0	0%	0	0	0%	0	1	0%	12	0	-100%	0	0	0%	1,706	1,676	-2%
Vineyard	1,537	1,628	6%	2	2	0%	38	96	153%	25	35	40%	557	717	29%	36	67	86%	2,195	2,545	16%
Total	24,435	26,386	8%	32	2198	6769%	144	222	54%	927	1218	31%	30,366	30,738	1%	232	700	202%	56,136	61,462	9%

*Other investments comprise of premium receivables, furniture and fittings, motor vehicles, computer equipment, staff debtors, intercompany investments and funeral services current account.

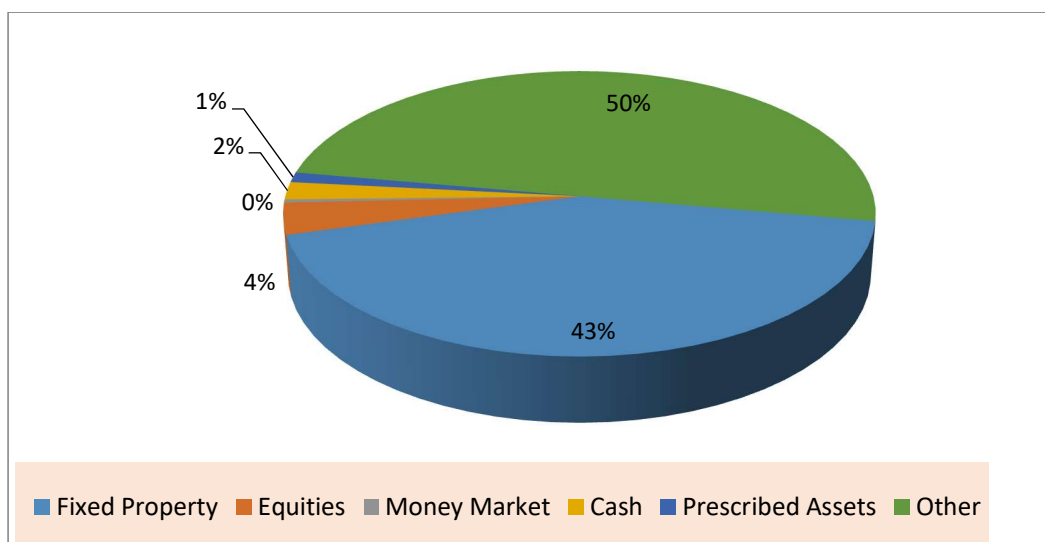
Figure 5: Asset base as at 30 June 2017 (000)



**Other investments comprise of premium receivables, furniture and fittings, motor vehicles, computer equipment, staff debtors, intercompany investments and funeral services current account.*

The asset base for the funeral assurance industry remains mainly concentrated in fixed property (43 percent) and other assets (50 percent). Funeral assurers remain heavily invested in less liquid assets with cash and cash equivalents accounting only for 3.48 percent of total assets. Circular 1 of 2013 requires funeral assurance player to invest not more than 10 percent in other assets, players are therefore required to reduce the amount invested in other assets to maintain a healthy balance between liquid and less liquid assets to enable them to pay claims as and when they occur.

Figure 6: Breakdown of assets



**Other investments comprise of premium receivables, furniture and fittings, motor vehicles, computer equipment, staff debtors, intercompany investments and funeral services current account.*



13. Risk management issues

Liquidity risk.

Liquidity risk occurs when an institution cannot meet short-term debt obligations. For the half year ended 30 June 2017, the average current ratio of the industry was 177 percent which puts the industry in a safe zone in terms of its ability to meet liabilities. However due to the uncertain timing of claims liability and the concentration of the industry's assets in non-liquid asset, liquidity risk still exists in the industry. Players still need to increase assets they invest in cash and cash equivalents.

Underwriting risk

Underwriting risk refers to the potential loss to an insurer emanating from claims incurred outstripping the premiums received, as a result of inadequate pricing for risk. Underwriting risk in the funeral assurance industry is low as evidenced by the prevalence of technical profits. The requirement by the Commission for actuarial valuation to be done for all new products have significantly reduced underwriting risk for the industry. Players are encouraged therefore to continue to be more vigilant and price for risk when developing new products or when repricing existing products.

Market risk

Market risk is the possibility for an assurer to experience losses due to factors that affect the overall performance of the financial markets where an assurer's assets which support liabilities are invested. Market risk is generally high due to liquidity squeeze and lack of diversity in available financial products in the financial markets.

Operational risk

Operational risk arises from inadequate or failed internal processes, people and systems, or from external events such as fraud and natural disasters. Players are encouraged to put in place effective internal control systems, institute code of conduct, insure their properties and staff, and properly train their staff. This will help to reduce process failures, internal and external frauds which will all minimise operational risk.

Compliance risk

Compliance risk is exposure to legal penalties, financial forfeiture and material loss an organization faces when it fails to act in accordance with industry laws and regulations, internal policies or prescribed best practices. Compliance risk is high in the funeral assurance industry, this is evidenced by failure of most players to adhere to compliance issues. None compliance is prevalent in the following issues;

- Late submission of quarterly returns.
- Late submission of audited financial statements.



- Non compliance with prescribed asset ratios.
- Non compliance with minimum capital requirements.
- Late payment of levies.
- Non compliance with the minimum solvency margin.

Players are encouraged to take compliance issues seriously and reduce their infractions with the law.

14. Prescribed assets

As at 30 June 2017 the average prescribed asset ratio for the funeral assurance industry was 1.14 percent which is below the minimum prescribed ratio of 7.5 percent. Players are required to adhere to the required prescribed asset ratio to avoid being penalized by the Commission. The table below shows the prescribed asset ratios for the players as at 30 June 2017.

Table 11: Prescribed asset ratios for funeral assurance industry player as at 30 June 2017

Company	PA Investments (000)	Total assets (000)	PA ratio	shortfall in compliance (000)	Variance in compliance
Orchid	US\$ -	US\$ 1,255.00	0.00%	US\$ 94.13	7.5%
Doves	US\$ 393.00	US\$ 24,671.00	1.59%	US\$ 1,850.33	5.9%
F. Funeral	US\$ 10.00	US\$ 9,004.00	0.11%	US\$ 675.30	7.4%
Foundations	US\$ 115.00	US\$ 2,277.00	5.05%	US\$ 170.78	2.4%
Moonlight	US\$ 67.00	US\$ 16,133.00	0.42%	US\$ 1,209.98	7.1%
Passion	US\$ 35.00	US\$ 914.00	3.83%	US\$ 68.55	3.7%
Ruvimbo	US\$ 13.00	US\$ 2,987.00	0.44%	US\$ 224.03	7.1%
Sunset	US\$ -	US\$ 1,676.00	0.00%	US\$ 125.70	7.5%
Vineyard	US\$ 67.00	US\$ 2,545.00	2.63%	US\$ 190.88	4.9%
Total	US\$ 700.00	US\$ 61,462.00	1.14%	US\$ 4,609.65	6.4%

15. Capitalisation and Solvency

As at 30 June 2017 4 funeral assurers had capital levels below the then minimum capital requirement of US\$1.5 million. The average capital maintenance ratio for the funeral assurance industry ranged from 27.33 percent to 1415.20 percent with the industry average being 280 percent. The minimum capital requirements for funeral assurers were reviewed upwards on 25 August 2017 to US\$2.5 million, and only 3 players are compliant with this new requirement. After taking into account the review in minimum capital



requirements the average capital maintenance ratio becomes 168 percent. Players are required to comply with these new capital requirements as a matter of urgency.

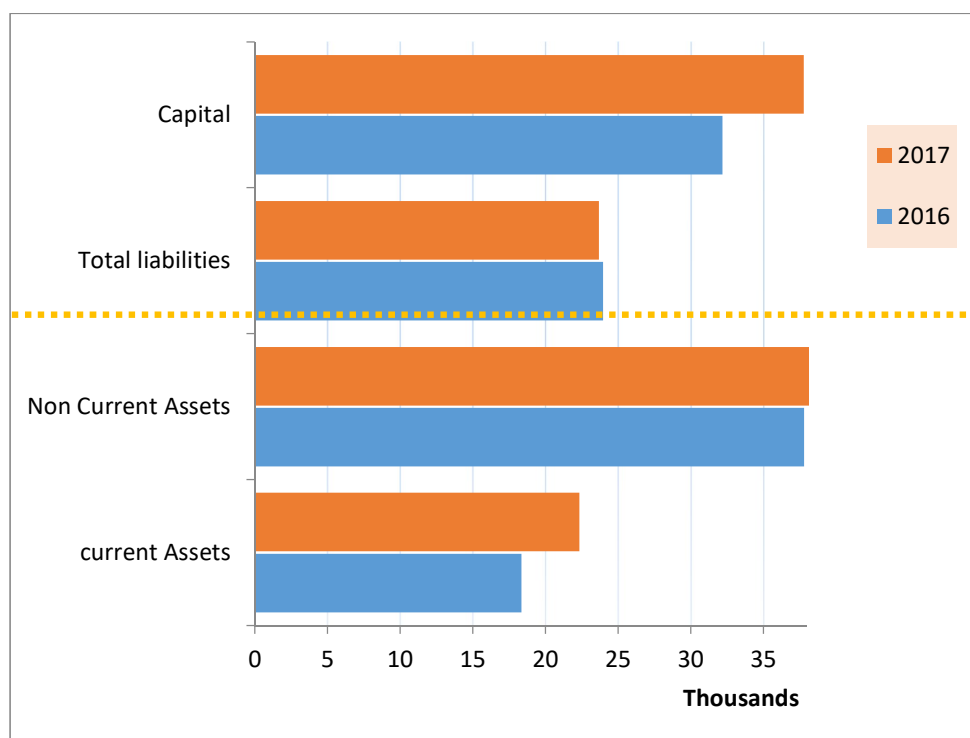
Shareholders equity on average financed up to 61.62 percent of the funeral assurance industry assets as shown by the equity to total assets ratio of 61.62 percent (see appendix 1A). The industry equity to total assets ratio ranged from 23.40 percent to 88.47 percent indicating an industry with moderate to high levels of debt capital.

Table 12: levels of Capitalisation, Liquidity and Solvency indicators as at 30 June 2017

Company	Current Assets			Current Liabilities			Total Assets		Total Liabilities			Capital (Net Assets)			Capital to liability Ratio (%)			Current Ratio (%)		
	Jun-16	Jun-17	%	Jun-16	Jun-17	%	Jun-16	Jun-17	Jun-16	Jun-17	%	Jun-16	Jun-17	%	Jun-16	Jun-17	%	Jun-16	Jun-17	%
Orchid	144	123	-15%	349	289	-17%	1,342	1,255	695	570	-18%	647	685	6%	85%	120%	35%	36%	43%	7%
Doves	9,824	10,133	3%	2,152	1,599	-26%	21,064	24,671	2,795	3,443	23%	18,269	21,228	16%	136%	617%	481%	432%	634%	202%
F. Funeral	2,433	3,866	59%	409	259	-37%	8,709	9,004	3311	3,740	13%	5,398	5,264	-2%	193%	141%	-52%	795%	1493%	698%
Foundation	706	674	-5%	494	164	-67%	2,362	2,277	1,726	1,251	-28%	637	1,026	61%	55%	82%	27%	118%	411%	293%
Moonlight	4,045	4,644	15%	10,091	8,875	-12%	15,526	16,133	13,693	12,359	-10%	1,833	3,774	106%	14%	31%	17%	42%	52%	10%
Passion	225	499	122%	441	176	-60%	1,023	914	441	504	14%	582	410	-30%	234%	81%	-153%	160%	284%	124%
Ruvimbo	489	39	-92%	716	786	10%	2,209	2,987	716	1055	47%	1,493	1,932	29%	235%	183%	-52%	71%	5%	-66%
Sunset	12	1,682	13917%	182	194	7%	1,706	1,676	200	194	-3%	1,506	1,482	-2%	1923%	764%	-1159%	1%	867%	866%
Vineyard	468	670	43%	124	243	96%	2,195	2,545	378	573	52%	1817	1,972	9%	418%	344%	-74%	325%	276%	-49%
Total	18,346	22,330	22%	14,958	12,585	-16%	56,136	61,462	23,955	23,689	-1%	32,182	37,773	17%	93%	159%	66%	117%	177%	60%

As at 30 June 2017 solvency ratios for players in the funeral assurance industry ranged from 4.52 percent to 154.2 percent. In line with international best practice the minimum solvency margin required is 25 percent, however the Commission encourages players to have solvency levels high enough to enable them to pay claims as they fall due.

Figure 7 levels of Capitalisation, Liquidity and Solvency indicators as at 30 June 2017



16. Conclusion

Funeral assurance industry players should put in place strategies that will enable them to take advantage of opportunities that presents themselves including those in microinsurance. The Commission requires the industry to be compliant with all the regulatory requirements to avoid penalties.



17. Appendix

Appendix 1A Key Performance Indicators for Funeral Assurance Companies.

APPENDIX 1A. KEY PERFORMANCE INDICATORS FOR FUNERAL ASSURANCE COMPANIES										
	Orchid	Doves	F. Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total/ Average
Key Performance Indicator										
Capital Adequacy										
Capital Position (\$ 000)	685	21,228	5,264	1,026	3,774	410	1,932	1,482	1,972	37,773
Capital Maintenance Ratio (CMR)	45.67%	1415.20%	350.93%	68.40%	251.60%	27.33%	128.80%	98.80%	131.47%	280%
Equity/Total Assets Ratio	55.40%	86.04%	58.35%	45.08%	23.40%	57.12%	64.67%	88.47%	77.49%	61.62%
Solvency Margin	4.52%	39.62%	67.97%	51.17%	154.20%	74.48%	15.48%	3.70%	25.00%	51.78%
Asset Quality										
Total Assets (\$ 000)	1,278	24,672	8,979	2,276	16,133	1,173	2,986	1,682	2,545	61,725
Investments to Total Assets	7.36%	10.37%	47.92%	5.84%	0.42%	14.32%	19.39%	0.00%	6.48%	13.07%
Non-Interest Generating Assets/Total Assets	93.58%	61.39%	99.34%	78.78%	99.59%	93.44%	99.70%	99.94%	97.13%	83.19%
Fixed Assets/Total Assets	90.38%	50.50%	9.02%	66.74%	70.81%	59.59%	78.73%	99.58%	68.68%	54.82%
Prescribed Assets Ratio	0.00%	1.59%	0.11%	5.05%	0.42%	3.83%	0.44%	0.00%	2.63%	1.14%
Premium Debtors/Gross Premium	3.13%	0.00%	9.35%	18.10%	18.86%	111.02%	4.68%	10.91%	99.80%	13.17%
Premium Debtors/Total Assets	0.08%	0.00%	3.71%	4.17%	6.81%	47.23%	0.47%	0.36%	19.33%	4.20%
Reinsurance										
Risk Retention Ratio	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%
Earnings										
Profit After Tax (000)	1	1524	366	66	-560	69	2	-32	84	1520
Return on Equity	0.14%	7.18%	6.99%	6.43%	-14.83%	10.30%	0.10%	-2.15%	4.26%	4.00%
Return on Assets	0.08%	6.18%	4.08%	2.90%	-3.47%	5.88%	0.07%	-1.90%	3.30%	2.46%
Loss Ratio	18.75%	30.02%	32.18%	10.86%	17.56%	25.25%	13.38%	10.91%	21.10%	25.52%
Net Commission Ratio	0.00%	7.94%	19.52%	8.57%	2.73%	6.81%	0.00%	1.82%	2.84%	8.21%
Net Expense Ratio	128.13%	34.42%	34.88%	73.14%	74.82%	57.52%	76.92%	107.27%	58.22%	49.66%
Combined Ratio	150.00%	72.39%	86.58%	91.18%	95.12%	89.58%	90.30%	145.45%	82.15%	83.46%
Investment Income/NPW Ratio	56.25%	6.35%	0.00%	73.14%	19.33%	51.70%	0.00%	43.64%	54.97%	13.27%
Investment Income/Total Financial Assets	0.00%	0.00%	0.57%	2.47%	0.75%	0.43%	0.00%	0.00%	0.50%	0.34%
Liquidity										
Working Capital	-115	9,781	3,665	509	-3,056	289	-860	3	427	10,643
Current ratio	42.56%	633.71%	1492.66%	410.98%	52.33%	283.52%	4.96%	867.01%	275.72%	177%
Market Share of Total Liquid Assets	4.37%	76.30%	3.14%	4.15%	3.51%	4.10%	0.48%	0.05%	3.89%	100.00%
Market Shares										
Market Share Based on GPW	0.16%	42.70%	18.08%	2.67%	29.56%	2.53%	1.52%	0.28%	2.50%	100%
Market Share Based on NPW	0.16%	42.70%	18.08%	2.67%	29.56%	2.53%	1.52%	0.28%	2.50%	100%
Market Share Based on Total Assets	2.07%	39.97%	14.55%	3.69%	26.14%	1.90%	4.84%	2.72%	4.12%	100%



Appendix 1 B: Statement of Comprehensive Income for Funeral Assurers for the Half year ended 30 June 2017

APPENDIX 1B. STATEMENT OF COMPREHENSIVE INCOME FOR FUNERAL ASSURERS FOR THE HALF YEAR ENDING 30 JUNE 2017 (000)										
	Orchid	Doves	F. Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
Gross Written Premiums	32	8410	3,561	525	5,821	499	299	55	493	19,695
Reinsurance Premiums	0	0	0	0	0	0	0	0	0	0
Net Written Premiums	32	8,410	3,561	525	5,821	499	299	55	493	19,695
Increase/(Decrease) in UPR	0	834	130		1022	0	27	6	7	2026
Net Earned Premiums	32	7,576	3,431	525	4,799	499	272	49	486	17,669
Transfer to IBNR						0	0	0	1	1
Outstanding claims	5	0	0	0	0	0	4	6	0	
Paid Claims	1	2,525	1,146	57	1,022	126	40	6	104	5027
Net Commission Incurred	0	668	695	45	159	34	0	1	14	1616
Technical Result	31	4,383	1,590	423	3,618	339	232	42	367	11,025
Operating Expenses	23	2361	1242	0	3230	29	230	35	16	7166
Underwriting Result	8	2,022	348	423	388	310	2	7	351	3859
Management expenses	18	534		384	1125	258		24	271	2614
Investment Income			25	4	1	1	0		1	32
Unrealised Gains/Losses				-8	-52		0			-60
Other expenses						-3	0	15		
Other Income	11	36	-7	32	228	19	0		3	322
Profit Before Tax	1	1,524	366	67	-560	69	2	-32	84	1,521
Taxation				1			0			1
Profit After Tax	1	1,524	366	66	-560	69	2	-32	84	1520
Transfer to policyholders funds				26			0			
Dividends							0			0
Retained Income	1	1,524	366	40	-560	69	2	-32	84	1494



Appendix 1C: Statement of Financial position for funeral Assurers as at 30 June 2017

APPENDIX 1B. STATEMENT OF FINANCIAL POSITION FOR FUNERAL ASSURERS AS AT 30 JUNE 2017 (000)										
	Orchid	Doves	F. Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
ASSETS										
Non-Current Assets										
Fixed Assets	1155	12459	810	1519	11423	699	2,351	1675	1,748	33839
Investments			4303	84	67	153	579		127	5,313
Investments in Associated Companies	16	2080								2,096
Other Non-Current Assets							17			17
Total Non-Current Assets	1,171	14,539	5,113	1,603	11,490	852	2,947	1,675	1,875	41,265
Technical Assets										
Reinsurers' Share of O/S Claims										0
Deferred Acquisition Cost (DAC)										0
Total Technical Assets	0	0	0	0	0	0	0	0	0	0
Current Assets										
Cash & cash equivalents	4	955	59	29	66	62	9	1	35	1,220
Money Market Investments	78	478		49		15			38	658
Current Prescribed Assets										0
Premium Receivables	23	608	3,807	67	4,493	166	14	6	492	9,676
Intercompany Investments		8,092		405						
Inventory and Other Debtors	2			123	84	78	16		105	408
Total Current Assets	107	10,133	3,866	673	4,643	321	39	7	670	20,459
TOTAL ASSETS	1,278	24,672	8,979	2,276	16,133	1,173	2,986	1,682	2,545	61,725
Liabilities										
Deferred Tax Liabilities		533			1427				28	1988
Future policyholders benefits	281		3481	1087	3232	328		94	246	
Loans		1844			251		29		55	2179
Current Tax provisions					304	-2				302
Gross Outstanding Claims		0						4		4
IBNR										0
UPR	67									67
Creditors		715	58		6,373	144	127	96		
Amount due to related companies	79									79
Other Creditors	143	352	201	164	771	34	899		243	2807
Total Liabilities	570	3,444	3,740	1,251	12,358	504	1,055	194	572	7,426
SHAREHOLDERS' EQUITY										
Share Capital	14	1000	411		1500	1049	930	0	211	5115
Provision for future claim		7559		721		360		0		
Share Premium	1,334		1,610					0	978	3922
Revaluation & Other Reserves	268	3255	502	305	2926		893	1681	35	9865
Retained Profit	-908	9414	2,716		-651	-739	108	-193	748	10495
Shareholders's Equity	708	21,228	5,239	1,026	3,775	670	1,931	1,488	1,972	38,037
TOTAL EQUITY & LIABILITIES	1,278	24,672	8,979	2,277	16,133	1,174	2,986	1,682	2,544	61,725



Appendix 2A: Statutory Instruments and Circulars issued during the half year.

For the quarter under review the Commission issued the following circular to guide the industry on various issues affecting its operations: -

Circular Issued	Subject	Date Issued
Circular 6 of 2017	Use of employees of registered insurers, Bancassurance, Corporate agents and consultants in transacting insurance business	26 April 2017



Appendix 2B: Prescribed assets available in the market as at 30 June 2017

Name of The Issuer	Face Value (\$)	Salient Features	Remarks/Comments
Applications Approved in 2016			
1. Honde Hydro Power Consolidated	5,000,000	✓ Coupon rate of 8.5% to 9%, with a tenor of 5years ✓ Purpose: Intended for the construction of Hauna Power Station and to use some of the funds as working capital	Application was approved on the 13 th of May 2016. The Bond was fully subscribed as advised by IMARA
2. IDBZ Series 1 2015B	5,000,000	✓ Coupon rate of 9.5% with a tenor of 5 years ✓ Purpose: To finance housing projects namely New Marimba Park in Harare and Clipshan Views Suburb in Masvingo	Application was approved on the 13 th of May 2016. IDBZ managed to raise \$5 million. US\$0.5 million was raised from the insurance industry and US\$0.5 million from the pensions industry. The balance of \$4 million that was raised is uncategorized (i.e. IDBZ could not confirm how much was invested from the pension and insurance industry as some of the investors were in form of nominees)
3. Agribank and FBC, 2016/2017 Agrobills	20,000,000	✓ Coupon rate negotiable on private placement. ✓ Purpose: is to finance the 2016/2017 agricultural season.	Application approved on the 27 th of July 2016 and is now open for subscription. Fully subscribed and is closed. Repayments for the bond have started and are expected to be fully paid off by November 2017 as per the maturity schedule
4. ZETDC	15,000,000	✓ Coupon 7% per annum ✓ Purpose: to finance ZETDC Pre-Paid Meters	Application approved on the 27 th of July 2016 and is still open for subscription. The Commission has not yet received update on the uptake of the bond by the industry.
5. Agricultural Marketing Authority	50,000,000	✓ Coupon rate of 8.5% for a tenor of 360 days. ✓ Government Guarantee as security	Application approved on the 9 th of September 2016. The application has since been closed with total subscriptions



Name of The Issuer	Face Value (\$)	Salient Features	Remarks/Comments
(AMA) Bills being arranged by CBZ		✓ Purpose: to capacitate GMB to procure up to 100,000 metric tonnes of maize and 22000 metric tonnes of wheat	amounting to USD49,940,000, and amount due to investors at maturity will be USD53,764,091.92 Repayments to be made on the 7th of September 2017
6. Agribank 2016/2017 Agrobills	5,000,000	✓ Coupon rate that is negotiable on private placement ✓ Government Guarantee as security ✓ Purpose: is to finance the 2016/2017 agricultural season	Application approved on the 23 rd of December 2016 and is CLOSED \$3.075 million was raised and the repayments are to be made in December 2017
7. IDBZ Housing Bond (Empumalanga West Housing Project)	5,800,000	✓ Coupon rate of 8.5% p.a. with a tenor of 7 years ✓ Purpose: financing of the Mpumalanga West Housing Project. ✓ Government Guarantee as security	Application was approved on the 28 th of December 2016 and is open for subscription. To date, funds totaling \$1.024 have been raised, of which \$1 million was raised from the pension industry and \$0.024 from the insurance industry. The bond's maturity date is the 8 th of December 2021 and the first coupon payment was paid in June 2017.
1. ZB 2016/2017 Agro bills	10,000,000	✓ Coupon rate of 6.5% with a tenor of one year. ✓ Purpose: to finance the 2016/2017 agricultural season.	Application approved on the 13 th of February 2017 and is open for subscription. Available Update on uptake of the bond yet to be received
2. Zimbabwe Power Company	There	✓ No term sheet has been submitted by the applicant ✓ Purpose: financing of the 30MW Gaines Hydro Power generation plant and 100MW Gwanda Solar Project	The application was approved by the Minister of Finance and Economic Development on the 20 th of February 2017. However, the application was done directly to the Ministry of Finance and Economic Development and therefore the Commission does not have information relating to the bond's



Name of The Issuer	Face Value (\$)	Salient Features	Remarks/Comments
			salient features and the total amount expected to be raised through this bond issue.
3. ZINARA	100,000,000	✓ Coupon rate of 6.5% and a tenor of 12 months ✓ Purpose: to finance road rehabilitation	Application approved on the 6 th of April 2017 and is open for subscription. Update on uptake of the bond yet to be received.
4. IDBZ Housing Bond (Sumben Housing Project)	12,200,000	✓ Coupon rate of 8.5% p.a with a tenor of 7 years inclusive of 2 years grace period. ✓ Purpose: Financing of the Sumben Housing Project in Harare. ✓ Government Guarantee as security.	Application was approved on 28 April 2017 and it is open for subscription. To date, no funds have been raised by IDBZ in respect of this bond issuance.
5. Government of Zimbabwe Irrigation Infrastructure Treasury Bond (IITB)	50,000,000	✓ Coupon of 6% plus Consumer Price Index (CPI) and a tenor of 3 years ✓ Purpose: To contribute towards Command Agriculture through funding of development of irrigation infrastructure	The instrument was structured between the Ministry of Finance and Economic Development, the insurance and pensions industry and IPEC. However, the instrument has since been handed over to the Reserve of Zimbabwe to contact the potential subscribers and issue them with the instrument.
6. IDBZ Kariba Housing Bond (Series 2 2017B Bond)	14,900,000	✓ Coupon rate less or equal to 10%, tenor ranging from 3 to 10 years and guaranteed by the Government of Zimbabwe	Application approved by the Minister and the approval letter dated the 28th of June 2017 written by the Commission has since been dispatched to the applicant. Total amount of US\$7.6 million raised to date, of which about US\$1.38 million (\$0.88 from pension funds and \$0.5 million from the insurance industry) has been raised from both the insurance and pensions industry. The balance of \$6.2 raised is uncategorized (i.e. IDBZ could not confirm how much was invested from the pension and insurance industry as some of



Name of The Issuer	Face Value (\$)	Salient Features	Remarks/Comments
			the investors were in form of nominees). The bond matures on 22 June 2022 and no repayments have been done so far
7. Afreximbank US\$300 million bond Issue	300,000,000	✓ Tenor of two years and guaranteed by the Government of the Republic of Zimbabwe ✓ Purpose: to provide a financial instrument that is used as security for interbank lending, thereby enabling liquidity to flow in the banking system and broader economy	Application approved by the Minister and the approval letter dated the 27 th of June 2017 written by the Commission has since been dispatched to the applicant
8. CBZ AMA Bills	80,000,000	✓ Purpose is to finance purchase of grain	Application approved by the Minister and the approval letter dated the 4 th of July 2017 written by the Commission has since been dispatched to the applicant
9. Agribank and FBC Agro bills	20,000,000	✓ Tenor of 270 days and 360 days ✓ Secured by a Government Guarantee (however, this has not been finalized between the Banks and the Ministry of Finance) ✓ Purpose: to finance the 2017/18 agricultural season	Application approved by the Minister and the approval letter dated the 5 th of July 2017 written by the Commission has since been dispatched to the applicant
10. Fidelity Life Assurance Southview Park	12,600,000	✓ a tenor of 5 years at a coupon rate of 5% p.a ✓ Purpose: to service about 5974 stands for the Fidelity Southview Park Project	The request for the extension of the Bond Maturity was approved by the Commission on the 18 th of July 2017. The Ministry of Finance and Economic Development was also advised of the approval of the maturity extension to the 30 th April 2018 through our letter dated the 18 th of July 2018
11. Metbank (Command Agriculture)	30,000,000	✓ Purpose: To finance fertilizer producers for the winter wheat season (Command Agriculture)	Approval of Prescribed Asset Status granted in letter received on 18 August 2017. Metbank advised of approval



Name of The Issuer	Face Value (\$)	Salient Features	Remarks/Comments
12. Plum Solar (Private) Limited – Solar 5MW Solar Power Plant	3,000,000	✓ 7 year paper at USD labor plus 9% ✓ To finance the development of a solar power plant in Plumtree	Financial instrument got direct ministerial approval for the prescribed asset status.
13. IDBZ – University Staff and Student Project	35,100,000	✓ Participating Preference Shares at fixed rate of 5% ✓ Purpose for the construction of various State universities staff and student accommodation	Financial instrument got direct ministerial approval for the prescribed asset status.
Oxygen Energy (Private) Limited through Regatta Financial Advisors	28,000,000	✓ Tenor of 5 to 10 years at a coupon rate of 10% ✓ Purpose: To finance 20MW rooftop Solar Plants with capacity to generate 20MW on Old Mutual Buildings	Application is under consideration.
1. ZB Financial Holdings – GMB Agro Bills	50,000,000	✓ 365 days tenor at coupon rate of 8% ✓ Purpose – For the procurement and storage of grain from farmers	Processing of application held in abeyance pending receipt of GMB's Borrowing Power Certificate and Government Guarantee for the proposed financial instrument
2. Jinmac Zim Cotton (Pvt) Ltd (New Application)	5,000,000	✓ Tenor of 20 years, at a coupon rate of 8.5% ✓ Purpose: To purchase Automated Textile Plant	File closed after 31 July deadline given to submit outstanding information passed without any information submitted.



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